

CH – 1 ACCOUNTING BASICS

(B) DOUBLE ENTRY BOOK – KEEPING SYSTEM

Home Assignment – 7 [Double entry rules relating to Assts, Liabilities, Capital & Drawings]

1. The investment of cash into the business results in a/an
 - (a) Increase in cash and a decrease in capital
 - (b) Increase in cash and an increase in capital
 - (c) Decrease in cash and an increase in capital
 - (d) Increase in fees earned and an increase in capital
2. Received loan in cash will result in a/an
 - (a) Increase in cash and increase in capital
 - (b) Increase in cash and an increase in liability
 - (c) Decrease in cash and an increase liability
 - (d) Decrease in liability and decrease in cash
3. The owner contributes his personal car to the business
 - (a) Increase an asset, increase a liability
 - (b) Decrease an asset, decrease a liability
 - (c) Increase an asset, increase in capital
 - (d) Decrease an asset, decrease capital
4. A debit entry usually represents increase in:

(a) Assets and Income	(b) Liabilities and Income
(c) Assets and Expenses	(d) Liabilities and Expenses
5. The double entry to record the withdrawal of an amount from a business bank account by the owner for his persona use?

(a) Debit: drawings	Credit: bank
(b) Debit: drawings	Credit: capital
(c) Debit: liability	Credit cash
(d) Debit: capital	Credit: drawings
6. X Ltd. purchased a vehicle for Rs. 1.5 million for business use, paying by cheque, what is the double entry:
 - (a) Purchases account (debit) and bank account (credit)
 - (b) Vehicle account (debit) and bank account (credit)
 - (c) Vehicle account (credit) and bank account (debit)
 - (d) Debit vehicle account (debit) and petty cash account (credit)
7. Which account will be debited in case of an increase?
 - (a) Drawings
 - (b) Revenue
 - (c) Bank Loan
 - (d) Capital

8. Sultan traders deals in electric fans. The owner of Sultan traders took one electric fan for his home, which of the following account will be debited?
- (a) Fans account
 - (b) Purchases account
 - (c) Sales account
 - (d) Drawings account
9. Debit represents all of the following, except:
- (a) Increase in asset
 - (b) Decrease in liability
 - (c) Decrease in capital
 - (d) Increase in capital
10. A debit entry usually represents decrease in:
- (a) Assets and expenses
 - (b) Liabilities and income
 - (c) Liabilities and expenses
 - (d) Income and assets
11. Which of the following transactions increases capital?
- a) Cash introduced by the owner into the business
 - b) Owner withdrawing stock for personal use
 - c) Payment of office salaries
 - d) None of the above
12. A credit purchase of machinery for Rs. 50,000 will:
- a) Increase asset and increase liability
 - b) Increase liability and decrease capital
 - c) Decrease asset and increase liability
 - d) Increase capital and decrease asset
13. Which of the following will increase assets?
- a) Payment of salaries
 - b) Amount received from bank loan
 - c) Owner's drawings in cash
 - d) None of the above
14. A liability will decrease when:
- a) Furniture bought on credit from Indus Traders
 - b) Payment is made to Indus Traders for furniture bought on credit
 - c) Loan is obtained from bank
 - d) Expenses are incurred but not yet paid
15. Which entry records a payment of Rs. 50,000 to supplier by cheque?

- a) Debit Bank, Credit Payable
 - b) Debit Payable, Credit Bank
 - c) Debit Payable, Credit Capital
 - d) Debit Bank, Credit Capital
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